

Surya Prakash Solar Tech Solutions Pvt. Ltd.

Commercial Solar Rooftop Installations & Smart Grid Inverter Manufacturing

Enterprise Category	Small Manufacturing Enterprise	Date of Incorporation	14th November 2017
Udyam Registration	UDYAM-KR-03-0048192	Operating Location	Peenya Industrial Estate, Phase II, Bengaluru
Primary Activity	Solar PCU & Hybrid Inverter Assembly	Appraisal Purpose	₹50.00 Lakhs Term Loan + CC Renewal
Promoter Profile	K. Prakash Rao (B.Tech Electrical, 14 yrs exp)	Banking Relationship	State Bank of India, SME Peenya

1. Executive Summary & Enterprise Background

Surya Prakash Solar Tech Solutions Pvt. Ltd. is a fast-growing clean-tech manufacturing firm specializing in hybrid solar power conditioning units (PCUs), micro-inverters, and commercial solar rooftop electrical panels. The enterprise caters to commercial EPC contractors, industrial factories, and decentralized rooftop solar developers across Southern India. Audited operational revenue grew from ₹180.50 Lakhs (FY23) to ₹245.80 Lakhs (FY24), sustaining a healthy operating EBITDA margin of 18.5% and net profit after tax of ₹15.20 Lakhs.

The company is currently seeking a commercial term loan facility of ₹50.00 Lakhs to procure a high-speed automated SMD pick-and-place inverter PCB assembly line (total project cost ₹65.00 Lakhs). This detailed appraisal dossier provides forensic evaluation of the company's operational throughput, revenue dispersion, working capital liquidity, and regulatory covenant compliance.

[PRELIMINARY RISK OVERVIEW]

APPRAISAL FINDING: Enterprise demonstrates strong 36.2% YoY revenue growth and healthy product margins (EBITDA 18.5%). However, debt liquidity is severely constrained by concentrated EPC debtor cycles and elevated Cash Credit drawing power utilization.

2. Financial Performance & Historical Statements

Audited figures for FY22, FY23, and FY24 extracted from certified balance sheet filings (Amount in ■ Lakhs):

Financial Metric (■ Lakhs)	FY 2021-22	FY 2022-23	FY 2023-24	YoY Change
Gross Revenue from Operations	135.20	180.50	245.80	+36.18%
Cost of Components & Silicon Raw Materials	88.40	118.20	158.40	+34.01%
Gross Operating Margin	46.80 (34.6%)	62.30 (34.5%)	87.40 (35.6%)	+40.29%
Operating EBITDA	22.10 (16.3%)	31.40 (17.4%)	45.47 (18.5%)	+44.81%
Net Profit After Tax (PAT)	7.80 (5.8%)	11.10 (6.1%)	15.20 (6.2%)	+36.94%
Tangible Net Worth (TNW)	42.50	53.60	68.80	+28.36%
Debt Service Coverage Ratio (DSCR)	1.85x	1.98x	2.05x	Comfortable

3. Customer Concentration & Off-taker Schedule

Schedule of institutional sales distribution reveals significant concentration exposure:

Customer / Account Name	Turnover Share	FY24 Value	Agreed Terms	Actual Realization
Apex EPC Infra Projects Pvt. Ltd.	42.50%	■104.46 L	30 Days	92 Days Delay
SunRay Green Energy Installations	22.10%	■54.32 L	30 Days	45 Days
Karnataka Industrial Rooftop Developers	16.80%	■41.29 L	15 Days	28 Days
Retail Dealers & Distributors (22 Accounts)	18.60%	■45.73 L	Advance / 7 D	10 Days

[CUSTOMER CONCENTRATION HAZARD]

CRITICAL RISK SIGNAL: Single customer 'Apex EPC Infra Projects Pvt. Ltd.' generates 42.5% of total enterprise sales. Contractor delays payment settlements to 92 days vs 30-day agreement, freezing ■26.5 Lakhs in liquid cash flow.

4. Working Capital Stress & Banking Utilization

The enterprise maintains a Cash Credit working capital limit of ₹50.00 Lakhs with State Bank of India. Due to prolonged receivables stretch from Apex EPC Infra (92 days) combined with advance procurement requirements for semiconductor micro-controllers, the facility currently operates at a peak utilization of 94.2% (average utilization 91.5% over trailing 6 months).

This leaves the company with less than ₹2.90 Lakhs in undrawn contingency buffer. Operating near 100% drawing power limits exposure to unexpected supply chain spikes and subjects the company to monthly bank penal interest overheads.

5. Operational Machinery & Throughput Bottleneck

The manufacturing facility operates semi-automatic wave soldering and manual component insertion stations. Operational bottleneck: The inverter testing and quality burn-in rig capacity limits factory throughput to 150 units/month, while active monthly EPC order intake averages 280-320 units. Consequently, assembled inverter chassis remain staged in warehouse buffer for up to 3 weeks awaiting testing slots, delaying dispatch billing and creating inventory lockup.

6. Regulatory Compliance & Capital Expenditure Shortfall

Statutory compliance review notes an unmitigated compliance gap: The factory shed expansion constructed in Q2 FY24 currently lacks updated Karnataka State Pollution Control Board (KSPCB) Consent to Operate (CTO) renewal for the electronic soldering extraction exhaust. Commercial lenders stipulate unconditional PCB clearance prior to first loan disbursement.

Furthermore, the proposed capital expenditure of ₹65.00 Lakhs for automated SMD machinery requires a mandatory 30% promoter contribution of ₹20.00 Lakhs. Promoters have allocated ₹13.50 Lakhs from internal reserves, leaving an uncovered promoter equity shortfall of ₹6.50 Lakhs.

[STRATEGIC REMEDIATION]

RECOMMENDED ACTION BLUEPRINT: 1. Deploy TReDS bill discounting on Apex EPC Infra invoices to release ₹22 Lakhs; 2. Regularize KSPCB consent renewal within 30 days; 3. Bridge ₹6.50 Lakhs promoter margin gap via subordinate debt to unlock ₹50 Lakhs term loan.